Musashi Seimitsu

7220.T | Tokyo Stock Exchange Prime | 2026-10-07

Q4 2027 model ceiling: JPY 5,822.38

Analytical Base 39/60 = 65 | Qualified power-buffer components within an automotive parent

20x rolling Q+next3 Japanese GAAP common-attributable OP, less window-end modeled net debt/leases with a June2026 claim floor, divided by window-end shares.13% minority attribution applies to legacy mobility only.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	23,180.5	20x	65.700	5,822.38

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

GAAP OP includes production depreciation, recurring R&D, SG&A and SBC. Nonoperating interest, tax and already-recorded extraordinary restructuring are excluded from OP but included in funding.. 20x rolling Q+next3 Japanese GAAP common-attributable OP, less window-end modeled net debt/leases with a June2026 claim floor, divided by window-end shares.13% minority attribution applies to legacy mobility only.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use JPY m unless a different unit is stated.

Thesis

7220.T | Tokyo Prime | JPY | Research date: October 7, 2026

The Q4 2027 model ceiling is **¥5,822 per common share**, versus ¥5,123 before the probability-weighted incremental branches. The analytical Base is **65/100 (39/60)**. The method is 20x forward-four-quarter Japanese GAAP operating profit attributable to common, less ¥81.080 bn modeled window-end net debt and lease claims, divided by 65.700 m modeled shares at the end of Q3 2028. This is a conditional valuation ceiling, not company guidance.

Musashi combines a mature automotive supplier with a fully owned hybrid-supercapacitor business. The HSC opportunity is real because AI racks need to manage fast power swings. The critical unresolved question is how many qualified cells Musashi can deliver, at what realized price and manufacturing cost. The forecast does not treat its factory area or headline capacity as revenue.

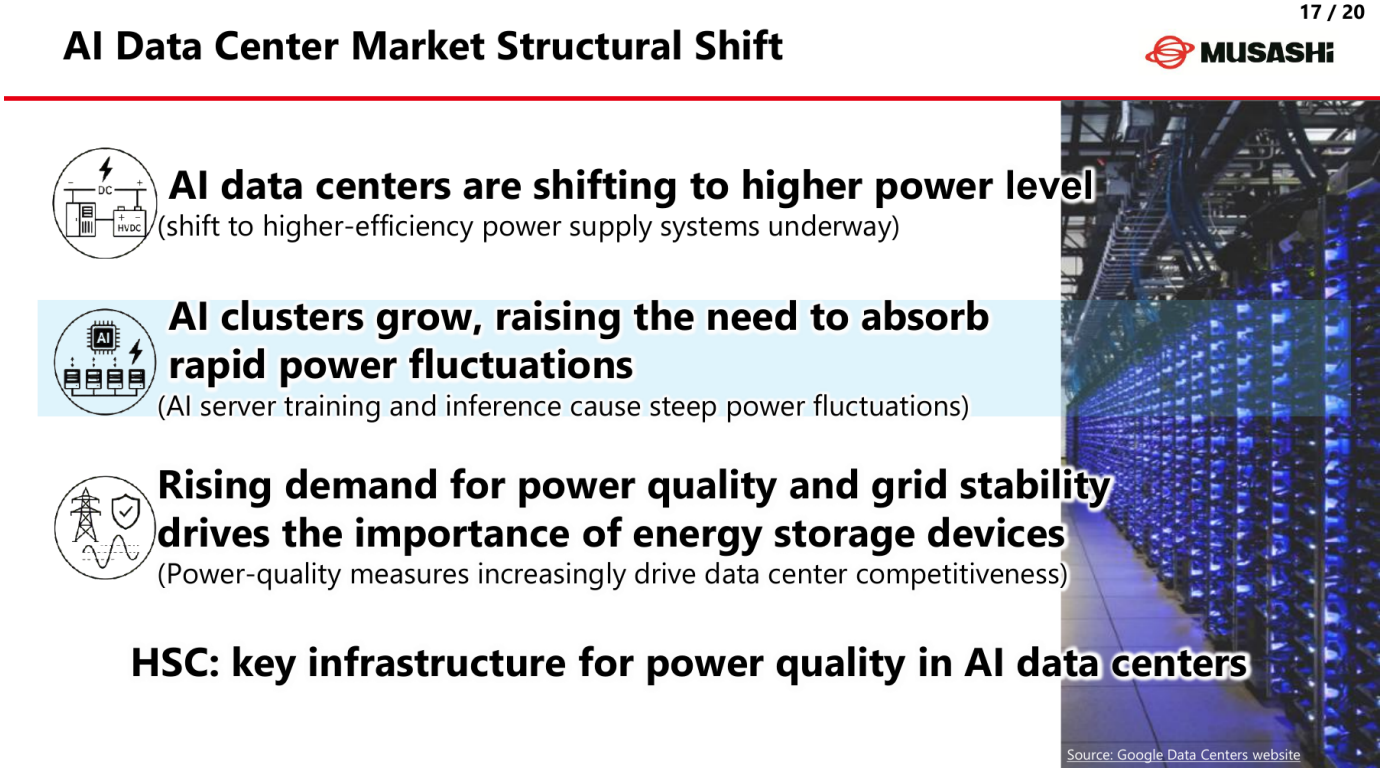
What HSC solves

A supercapacitor bridges rapid energy demands that upstream power systems should not follow instantaneously. Musashi's lithium-ion hybrid approach trades some characteristics of a conventional electric-double-layer capacitor for greater usable energy at a given volume. That can matter where the physical space available for a rack power buffer is constrained. It does not automatically establish the cheapest or most reliable complete solution.

The current Japanese datasheet specifies the CPQ 3300 SD at 3300 F, 3.8-2.2 V, 0.7 mΩ DC resistance, 200 A continuous discharge and at least one million cycles to the stated capacity criterion. Its usable ideal energy is $0.5 \times 3300 \times (3.8^2 - 2.2^2) = 15{,}840$ J, or 4.4 Wh. The published 20 Wh/L agrees with that cell's approximate 0.221 L volume. The CPP 4100 SA has more energy density, but a different 100 A continuous limit and a cycle claim of at least 100,000, or at least 2 million at 60% depth of discharge. These specifications cannot be combined into one fictional best-of-all product.

Resistance still matters: at 200 A, CPQ's quoted 0.7 mΩ implies 28 W of instantaneous resistive heat. The 1300 A maximum is not a continuous-duty rating. A high-density cell can win on space while losing at a particular RMS current, thermal limit or lifetime. Series/parallel cell count, balancing, control software, conversion loss, mechanical packaging and system qualification must be compared together. Musashi's ESS 400 cabinet description is a separate system-level product; cabinet power ratings are not the selling price or capacity of a bare cell.

The supplied Irrational Analysis article is a useful technical breadcrumb for compact power buffering. Its strong monopoly language goes beyond the verified evidence. Eaton and other qualified supercapacitor/module suppliers demonstrate that there are alternatives, while lithium-ion batteries, different rack power architectures and larger external buffers can substitute in some applications. There is no model revenue from a presumed sole-source NVIDIA award.



Original issuer exhibit | Issuer original: q1_deck_en, PDF page 22.

Qualified output is the bottleneck

The historical plan combined approximately 1.5 m annual Hokuto cells and 5 m from Minami-Alps. That 6.5 m figure is nameplate, not audited good output. The May 13, 2026 management presentation explicitly says Hokuto faced capacity constraints and required productivity and yield improvements. It rescheduled Minami-Alps production from fall 2026 to early 2027. The August 6 presentation confirms building handover in June and ongoing ramp work. It does not disclose accepted customer shipments, achieved yield or a revised qualification date.

The model's reference accepted cells are 0.9 m in 2027,2.0 m in 2028,3.0 m in 2029 and 3.5 m in 2030. A 55% conditional branch adds 1.5 m/2.0 m/1.5 m/1.0 m cells respectively. The conditional total never exceeds 4.5 m, below historical nameplate; the probability-weighted totals are 1.725 m/3.10 m/3.825 m/4.05 m. Qualification and delivery timing are therefore explicit constraints even in the upside branch.

The central cell-equivalent price is **¥5000**, an undisclosed-price modeling proxy, not an observed rate card. It includes embedded module content allocated back to cells, with no second module-sales addition. The broad ¥3000-10000 sensitivity is necessary because neither unit sales nor ASP is separately reported. It changes the active Q4 2027 ceiling from ¥5,174 to ¥7,442, holding other inputs fixed. Production economics, not an analyst target, must eventually replace this large source of uncertainty.

Mass Production System for Hybrid Super Capacitor

Hokuto Plant, Yamanashi



【Current Status】

Capacity expansion has faced constraints, and supply is expected to be tight from Q1 due to strong order growth

【Three Concrete Measures to Address Increased Orders】

1. Concentration of engineering resources
2. Improvement in productivity
3. Improvement in production yield

Driving forward to achieve rapid capacity expansion in response to growing orders

Original issuer exhibit | Issuer original: fy_deck_en, PDF page 26.

Expantion Plan of Production Capacity





Minami-Alps Plant, Yamanashi

Production start rescheduled from fall 2026 to early 2027

Incorporating learnings from Hokuto Plant capacity expansion, building a more resilient production system for 2027 full-scale demand

Original issuer exhibit | Issuer original: fy_deck_en, PDF page 27.

Progress in Capacity Expansion



Original issuer exhibit | Issuer original: q1_deck_en, PDF page 24.

Current results and fiscal calendar

Musashi labels April 2026-March 2027 as FY 2026. Here all model quarters use the calendar. The latest released quarter is April-June 2026, calendar Q 2. Revenue was ¥89.157 bn, gross profit ¥14.026 bn, SG&A ¥9.147 bn and operating profit ¥4.878 bn. The one-million-yen difference between rounded GP less SG&A and reported OP is presentation rounding. Parent net income was ¥1.849 bn; noncontrolling profit was ¥0.297 bn. The group had not reported calendar Q 3 earnings as of this research date.

Headline revenue grew 7.3%, but management's bridge attributes approximately ¥8 bn to currency and a ¥1.9 bn decline to constant-currency activity. This is not evidence that automotive units grew 7.3%. Europe remained loss-making at ¥495 m negative operating profit, despite restructuring. Honda contributed¥45.968 bn, approximately 51.6% of quarterly sales. Customer and cycle concentration remain material.

For the year ended March 2026, revenue was ¥347.200 bn, OP ¥20.538 bn, reported parent net income ¥1.264 bn and CFO ¥33.007 bn. Extraordinary restructuring and investment losses explain why reported net earnings are a poor proxy for recurring OP. The latest full-year guidance remains revenue ¥335 bn, OP ¥18.5 bn, capex ¥35 bn and depreciation/amortization ¥18.5 bn. The model combines actual April-June with forecast next three quarters for revenue ¥335.141 bn and OP ¥19.274 bn. The gap from guidance is labeled assumption, with HSC ramp and legacy margins making it a little more optimistic; it is not a guide increase.

The May 13 and August 6 management presentations were read in full, with the relevant Japanese originals checked. Complete verbatim Q&A transcripts were not retrieved. The annual statutory report and integrated report provide ownership, debt, competition and risk context; management slides are not represented as full call transcripts.

FY2026 First Quarter Cumulative Income Statement

MUSASHI

(Unit: 100 million yen)

First Quarter (Apr.- Jun.)	FY2025 (3 months)	FY2026 (3 months)	vs. Previous year	
			Change	Ratio
Net Sales	**830**	**891**	+61	+7.3%
Operating Profit (Operating profit ratio)	**38** (4.6%)	**48** (5.5%)	+10	+28.1%
Ordinary Profit (Ordinary profit ratio)	**33** (4.0%)	**49** (5.5%)	+16	+47.4%
Net Income (Net income ratio)	**16** (2.0%)	**18** (2.1%)	+2	+11.0%
EBITDA (EBITDA ratio)	**81** (9.8%)	**97** (11.1%)	+16	+19.8%

Exchange Rate (Ave.)

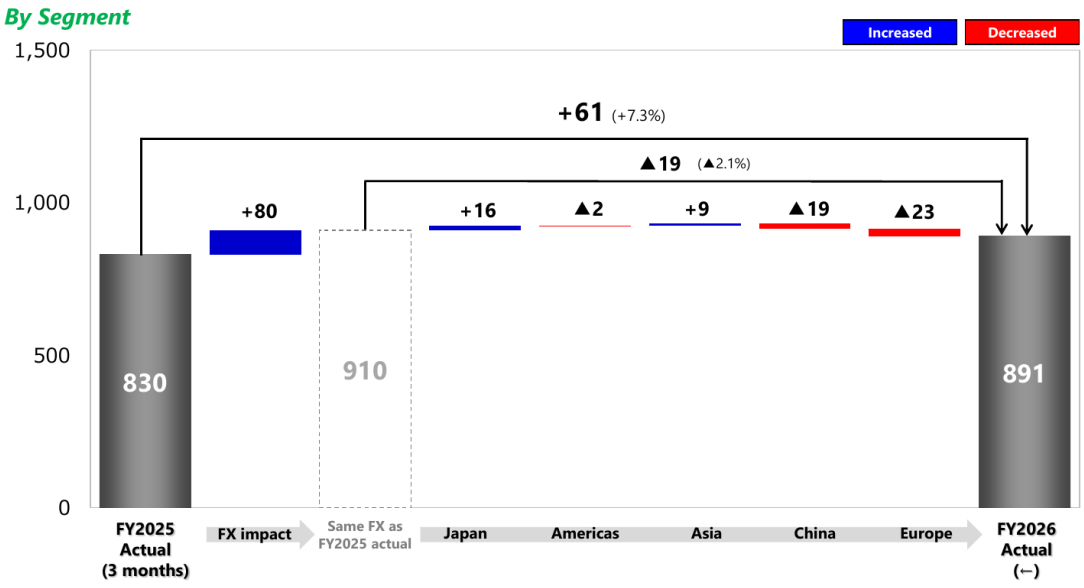
USD	143.77	160.74	+16.97	+11.8%
BRL	25.68	31.71	+6.03	+23.5%
EUR	165.15	186.15	+21.00	+12.7%
THB	4.36	4.89	+0.53	+12.2%
IDR	0.0087	0.0091	+0.0004	+4.6%
INR	1.69	1.69	0.00	0.00%
CNY	19.94	23.60	+3.66	+18.4%

Original issuer exhibit | Issuer original: q1_deck_en, PDF page 4.

FY2026 First Quarter Cumulative Net Sales Increase/Decrease By Segment

MUSASHI

(Unit: 100 million yen)



Original issuer exhibit | Issuer original: q1_deck_en, PDF page 5.

Revenue capture, costs and probability ledger

Four mutually exclusive revenue vectors are used: legacy powertrain excluding the HSC allocation, two-wheelers, linkage/suspension, and HSC cell-equivalent output. Statutory segments are geographic, so this product bridge is an explicit analyst allocation. Reported powertrain mix already contains overlapping activities; HSC is carved out before it is added, avoiding a second top-line pool.

Legacy 2027 revenue is ¥204 bn powertrain,¥98 bn two-wheelers and¥33 bn linkage/suspension. Gross margins of 14.5%,22% and 15% are model allocations. The model deducts ¥36 bn recurring legacy SG&A, including expensed R&D and SBC, plus ¥1.5 bn fixed HSC development/applications cost. Production depreciation stays in cost of goods sold; it is only added back in the cash bridge. The verified FY March 2026 R&D amount ¥5.703 bn is not charged twice.

The 55% output branch converts 45% of incremental sales into gross profit, then deducts 12% for additional engineering, qualification, warranty and selling costs:33% conditional operating contribution. A separate 45% repricing branch assumes an 8% premium on 40% of reference HSC units in 2027-28, at 80% operating retention. It excludes the output branch and fixed-price backlog, halves the premium in 2029 and removes it in 2030. Customers' cost of waiting supports positive pricing probability, but not a 100% claim on undisclosed contract terms.

A 30% yield downside adds 5% of reference HSC revenue to costs in 2027-28 and 2% in 2029. Incremental-output GP already includes its own ramp costs, so that pool is not charged twice. A 50% European recovery branch adds residual annual gross-profit savings of ¥0.6 bn/1.2 bn/1.5 bn/1.5 bn, less 25% transfer/support expense. Existing ordinary savings remain inside reference margins. These branches are bounded assumptions that can be tested against qualified shipments, realized ASP and normalized geographic margins.

Ownership, claims and dilution

Current Japanese subsidiary records show Musashi Energy Solutions is 100% owned after acquisition of the remaining 20% in April 2024. An older English history ending in 2020 still says 80%; it is stale. Legacy automotive subsidiaries carry minority interests. Normal pre-restructuring minority earnings support a 13% OP attribution proxy on **legacy mobility only**. At the active window, modeled legacy consolidated OP is ¥22.511 bn and HSC OP is ¥3.596 bn; minority attribution is 13% of the first number. No book noncontrolling-equity balance is subtracted as if it were debt.

June issued shares were 65,581,861 less 43,634 treasury shares. The July restricted-stock issuance adds 14,300, giving 65,552,527 point common shares. A 0.10% annual share reserve covers modest future awards; no buyback or undisclosed equity financing is assumed. The July award is not treated as free external financing cash.

Starting borrowings of ¥105.681 bn less cash/deposits¥38.075 bn plus March disclosed leases¥1.990 bn produce a ¥69.596 bn claim floor. The valuation uses the greater of this floor and modeled window-end net financial claims. The active window ends at ¥81.080 bn; the reference cash path has its own claim. This captures financing consumed by the buildout without capitalizing later forecast excess cash. Funding is conditional on continued lender support.

Cash, debt and funding

June receivables were ¥44.593 bn and inventory¥58.126 bn. Construction in progress reached ¥35.390 bn. Capital expenditure therefore precedes saleable output, and working capital can consume cash even when the income statement improves. The cash bridge uses June cash ¥38.075 bn, consolidated OP, depreciation add-back,30% cash tax after modeled interest, growth working capital, capex, parent and minority dividends, existing restructuring cash, pension contributions, lease payments and the annual debt ladder.

The March statutory ladder lists long-debt maturities of ¥16.734bn within one year, then ¥11.146bn/12.646bn/11.646bn/0.587bn in following annual buckets. The June current classification updates the next-twelve-month amount to ¥16.787bn, paid over Q3 2026-Q2 2027. Later annual buckets roll in successive four-quarter groups. June noncurrent debt exceeds March by ¥3.581bn; that undated addition and the residual beyond the published ladder remain outstanding. Exact post-June maturity dates and new-debt terms are unresolved. Short bank debt of ¥48.517bn is assumed renewed; no undrawn committed credit line was verified.

With a ¥5 bn minimum cash buffer, the base requires **¥13.456 bn additional bank funding**, beyond short-term renewals, through 2030; end cash is ¥10.481 bn. This is a funding assumption, not proof of committed finance. Without renewal of existing short debt, minimum modeled cash reaches ¥-53.314 bn. The severe case lowers OP 35%, raises interest to 4.5%, increases working-capital consumption and retains dividends; cumulative incremental financing need rises to ¥57.987 bn. No imaginary equity issue resolves that shortfall. If lenders cannot support the ramp, capex, timing, equity dilution or the ceiling must change.

The cash bridge implies FY ending March 2027 D&A of ¥19.357bn, ¥0.857bn above the ¥18.500bn guide. This comes from the model's earlier calendar-2027 depreciation step and is an assumption, not a guided cash-flow benefit. Full consolidated debt/cash claims are deducted against owner-attributed OP; precise subsidiary ownership and cash-location matching remain unverified.

Valuation and annual cross-check

The active Q4 2027 window includes Q4 2027 and Q1-Q3 2028, not calendar 2027 earnings alone. Forward common OP is ¥23.181 bn. The reference ceiling is ¥5,123; the incremental probability branches add ¥699. The 20x multiple is a transparent earnings-ceiling assumption for a qualified component franchise; the automotive parent and execution risk remain in margins, claims, cash stress and Base rather than an imported analyst price target.

Calendar year	Active revenue, ¥bn	Common OP, ¥bn	Accepted HSC cells, million
2027	343.690	19.095	1.725
2028	362.644	24.251	3.100
2029	379.233	27.903	3.825
2030	393.250	27.967	4.050

Catalysts, counter-evidence and score

The next earnings release is scheduled November 10 and the briefing November 12. The key tests are qualified HSC shipments, yield/productivity, commissioning progress, evidence on customer adoption and achieved pricing, working-capital absorption and the refinancing plan. New orders in mobility and Chinese OEM wins can improve legacy utilization, but announced programs have delivery and qualification timing; they are not all incremental near-term sales. Sodium-ion research is a longer-term option with zero separately modeled revenue because no defensible commercial ramp is available.

The thesis weakens if early 2027 remains a building milestone without accepted output, the new cells require costly cooling/balancing, price falls toward the low sensitivity case, customers choose larger cheaper buffers, or automotive cash fails to finance expansion. Strong industry demand cannot eliminate those company-specific constraints.

The 60-point score is Core 14/20, Cycle 7/10, TAM 8/10, Catalysts 4/5, Macro 7/10, Alpha 4/5 and Risks -5, totaling 39/60 and rounding to 65/100. This is an analytical score, not a protected Excel override.

Source register and unresolved evidence

The original local PDFs include the latest quarterly and annual financial statements, both management decks in Japanese and English, the statutory annual report, restructuring release, share issuance and integrated report. Their hashes and page mappings are saved with the model. Primary cell specifications were checked against the Japanese site. The most important unresolved items are standalone HSC ASP/units/margins, accepted yield, named customer qualifications and committed funding. These are explicit variables and watch items, not reasons to assign a zero probability to the opportunity.

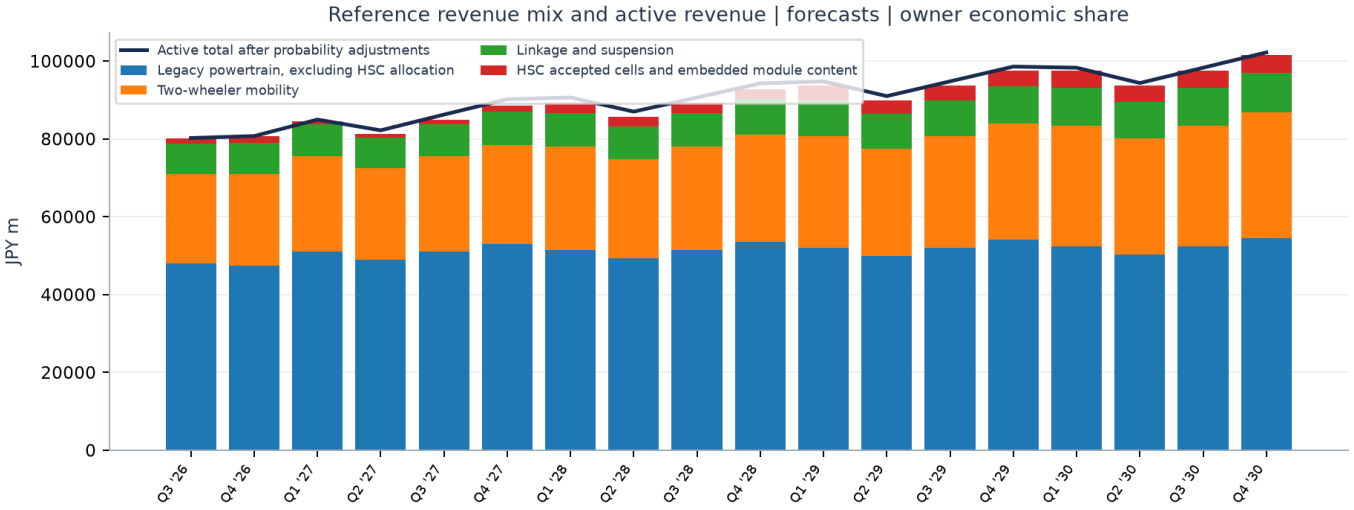
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https://www.musashi-es.co.jp/products/ultimo-cell-can.html - engineering_article (Date not independently resolved; read 2026-10-07): https://irrationalanalysis.substack.com/p/musashi-seimitsu-7220t-supercap-note

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	14	Qualified HSC chemistry and a real auto manufacturing base; customer economics and production yields are not fully disclosed.
Cycle	7	Power-conditioning demand is strengthening, but the critical plant was delayed and automotive demand remains uneven.
TAM	8	AI power fluctuations add a use case; accepted cells and system design, rather than all data-center watts, define captured revenue.
Catalysts	4	November results, early-2027 production qualification, accepted shipments and European restructuring.
Macro	7	AI infrastructure and Asian two-wheelers support demand; FX, auto production and refinancing are offsets.
Alpha	4	Distinguish cell energy from cabinet power, nameplate from qualified output, and wholly owned HSC from minority-owned auto earnings.
Risk classes	-5	Unquoted ASP, yield/ramp delay, ESR and cooling trade-offs, Honda dependence, auto weakness and debt refinancing.
Total	39/60	Rounded Base 65. Both artifact and new workbook row use this score; this is not a manual override.

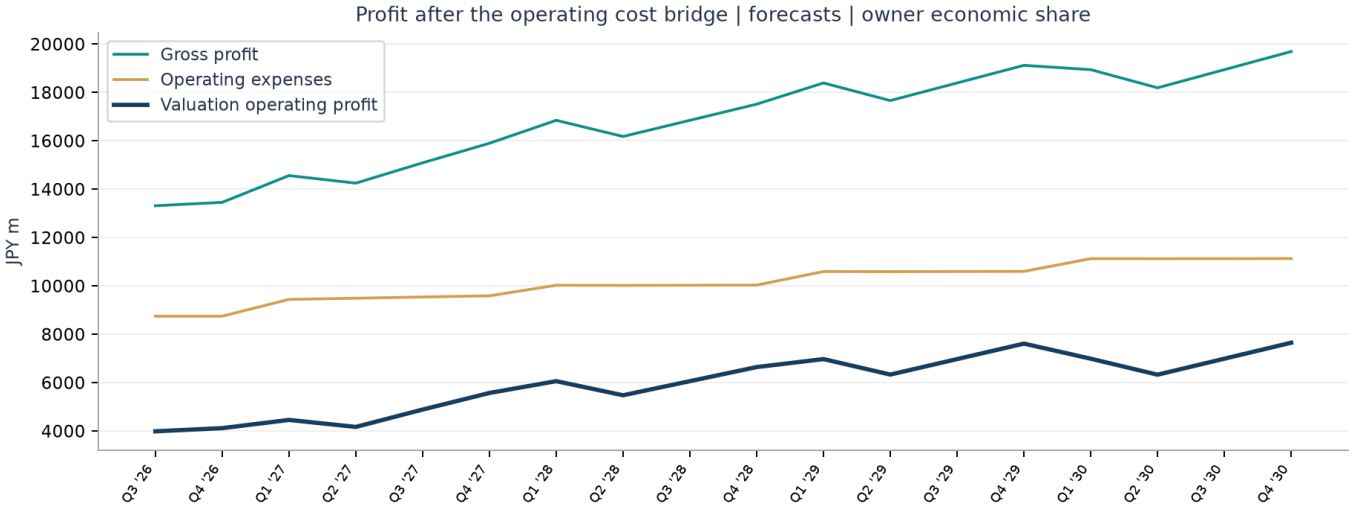
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	80,250.0	0.0	80,250.0
Q4 2026	80,750.0	0.0	80,750.0
Q1 2027	84,560.0	424.2	84,984.2
Q2 2027	81,390.0	839.3	82,229.3
Q3 2027	85,010.0	1,255.6	86,265.6
Q4 2027	88,540.0	1,670.7	90,210.7
Q1 2028	89,250.0	1,411.0	90,661.0
Q2 2028	85,680.0	1,354.6	87,034.6
Q3 2028	89,250.0	1,411.0	90,661.0
Q4 2028	92,820.0	1,467.4	94,287.4
Q1 2029	93,750.0	1,058.2	94,808.2
Q2 2029	90,000.0	1,015.9	91,015.9
Q3 2029	93,750.0	1,058.2	94,808.2
Q4 2029	97,500.0	1,100.6	98,600.6
Q1 2030	97,625.0	687.5	98,312.5
Q2 2030	93,720.0	660.0	94,380.0
Q3 2030	97,625.0	687.5	98,312.5
Q4 2030	101,530.0	715.0	102,245.0

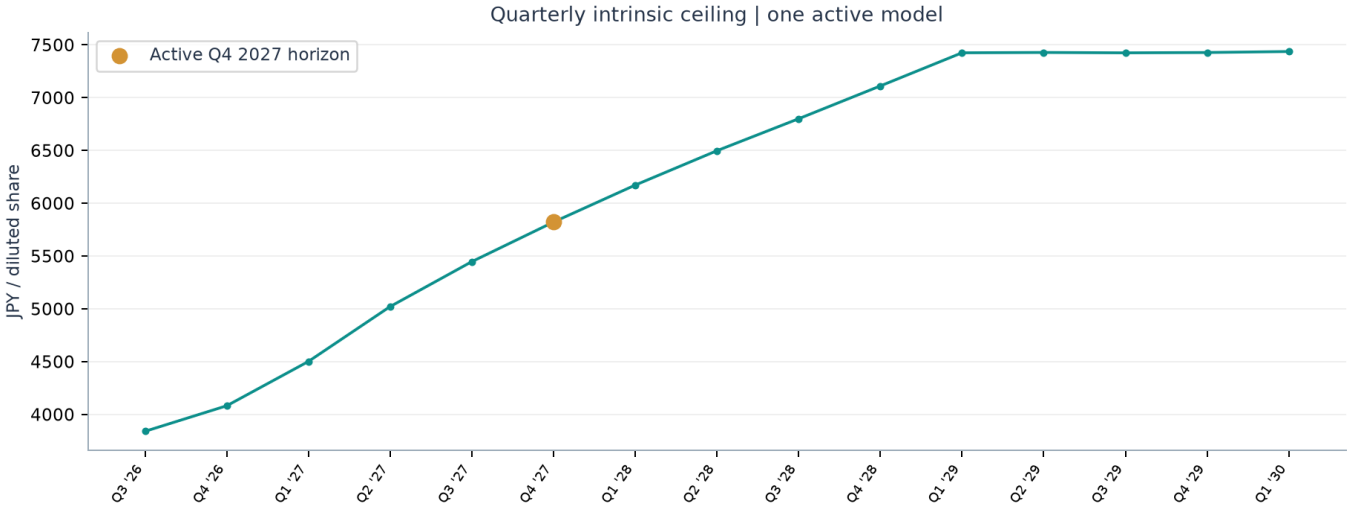
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	80,250.0	13,317.5	8,750.0	3,990.0	5.0%
Q4 2026	80,750.0	13,457.5	8,750.0	4,119.9	5.1%
Q1 2027	84,984.2	14,564.4	9,443.8	4,460.3	5.2%
Q2 2027	82,229.3	14,251.6	9,493.5	4,170.8	5.1%
Q3 2027	86,265.6	15,091.9	9,543.2	4,888.5	5.7%
Q4 2027	90,210.7	15,900.9	9,592.8	5,575.0	6.2%
Q1 2028	90,661.0	16,849.3	10,029.3	6,062.8	6.7%
Q2 2028	87,034.6	16,181.4	10,022.6	5,480.0	6.3%
Q3 2028	90,661.0	16,849.3	10,029.3	6,062.8	6.7%
Q4 2028	94,287.4	17,517.3	10,036.0	6,645.6	7.0%
Q1 2029	94,808.2	18,394.5	10,597.0	6,975.9	7.4%
Q2 2029	91,015.9	17,666.2	10,592.0	6,336.1	7.0%
Q3 2029	94,808.2	18,394.5	10,597.0	6,975.9	7.4%
Q4 2029	98,600.6	19,122.8	10,602.0	7,615.6	7.7%
Q1 2030	98,312.5	18,944.4	11,129.4	6,991.9	7.1%
Q2 2030	94,380.0	18,194.1	11,126.1	6,331.0	6.7%
Q3 2030	98,312.5	18,944.4	11,129.4	6,991.9	7.1%
Q4 2030	102,245.0	19,694.7	11,132.7	7,652.7	7.5%

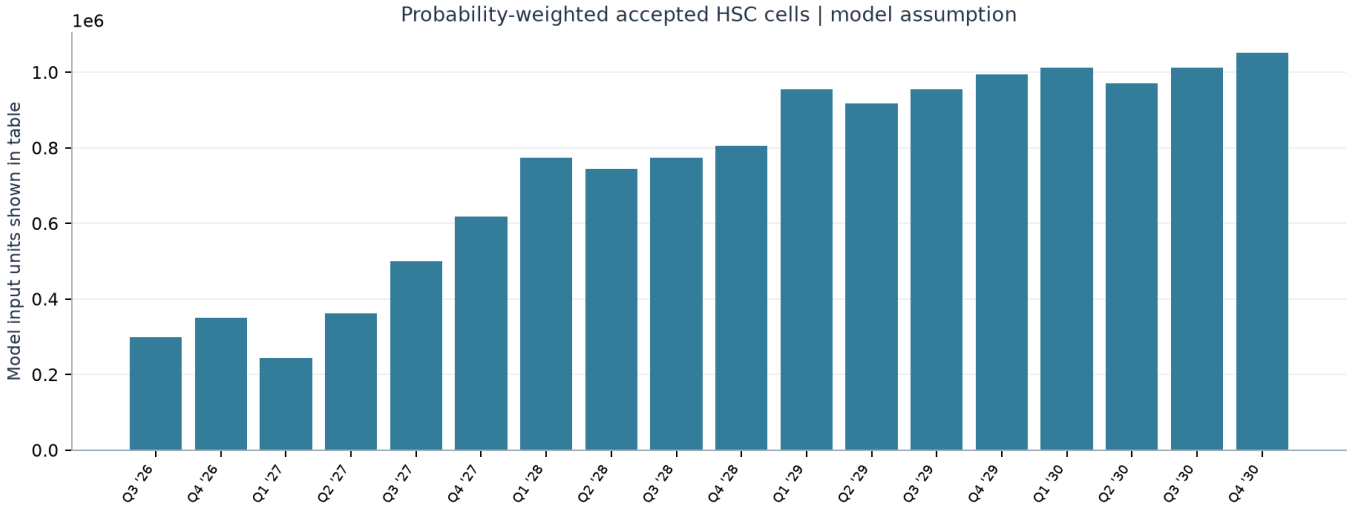
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	16,741.0	20x	65.618	3,840.67
Q4 2026	Q4 2026 to Q3 2027	17,639.6	20x	65.634	4,082.52
Q1 2027	Q1 2027 to Q4 2027	19,094.6	20x	65.651	4,502.36
Q2 2027	Q2 2027 to Q1 2028	20,697.1	20x	65.667	5,022.19
Q3 2027	Q3 2027 to Q2 2028	22,006.2	20x	65.684	5,447.60
Q4 2027	Q4 2027 to Q3 2028	23,180.5	20x	65.700	5,822.38
Q1 2028	Q1 2028 to Q4 2028	24,251.2	20x	65.717	6,172.56
Q2 2028	Q2 2028 to Q1 2029	25,164.3	20x	65.733	6,497.99
Q3 2028	Q3 2028 to Q2 2029	26,020.4	20x	65.749	6,800.85
Q4 2028	Q4 2028 to Q3 2029	26,933.4	20x	65.766	7,111.50
Q1 2029	Q1 2029 to Q4 2029	27,903.4	20x	65.782	7,425.60
Q2 2029	Q2 2029 to Q1 2030	27,919.4	20x	65.799	7,428.61
Q3 2029	Q3 2029 to Q2 2030	27,914.4	20x	65.815	7,425.22
Q4 2029	Q4 2029 to Q3 2030	27,930.4	20x	65.832	7,428.22
Q1 2030	Q1 2030 to Q4 2030	27,967.4	20x	65.848	7,437.62

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Probability-weighted accepted HSC cells	Status
Q3 2026	300,000.000	Forecast; no released CYQ3 2026 earnings
Q4 2026	350,000.000	Forecast; no released CYQ3 2026 earnings
Q1 2027	244,500.000	Forecast; no released CYQ3 2026 earnings
Q2 2027	363,000.000	Forecast; no released CYQ3 2026 earnings
Q3 2027	499,500.000	Forecast; no released CYQ3 2026 earnings
Q4 2027	618,000.000	Forecast; no released CYQ3 2026 earnings
Q1 2028	775,000.000	Forecast; no released CYQ3 2026 earnings
Q2 2028	744,000.000	Forecast; no released CYQ3 2026 earnings
Q3 2028	775,000.000	Forecast; no released CYQ3 2026 earnings
Q4 2028	806,000.000	Forecast; no released CYQ3 2026 earnings
Q1 2029	956,250.000	Forecast; no released CYQ3 2026 earnings
Q2 2029	918,000.000	Forecast; no released CYQ3 2026 earnings
Q3 2029	956,250.000	Forecast; no released CYQ3 2026 earnings
Q4 2029	994,500.000	Forecast; no released CYQ3 2026 earnings
Q1 2030	1,012,500.000	Forecast; no released CYQ3 2026 earnings
Q2 2030	972,000.000	Forecast; no released CYQ3 2026 earnings
Q3 2030	1,012,500.000	Forecast; no released CYQ3 2026 earnings
Q4 2030	1,053,000.000	Forecast; no released CYQ3 2026 earnings

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Legacy powertrain, excluding HSC allocation	48,000.0	14.0%	6,720.0
Q3 2026	Two-wheeler mobility	23,000.0	22.0%	5,060.0
Q3 2026	Linkage and suspension	7,750.0	15.0%	1,162.5
Q3 2026	HSC accepted cells and embedded module content	1,500.0	25.0%	375.0
Q4 2026	Legacy powertrain, excluding HSC allocation	47,500.0	14.0%	6,650.0
Q4 2026	Two-wheeler mobility	23,500.0	22.0%	5,170.0
Q4 2026	Linkage and suspension	8,000.0	15.0%	1,200.0
Q4 2026	HSC accepted cells and embedded module content	1,750.0	25.0%	437.5
Q1 2027	Legacy powertrain, excluding HSC allocation	51,000.0	14.5%	7,395.0
Q1 2027	Two-wheeler mobility	24,500.0	22.0%	5,390.0
Q1 2027	Linkage and suspension	8,250.0	15.0%	1,237.5
Q1 2027	HSC accepted cells and embedded module content	810.0	35.0%	283.5
Q2 2027	Legacy powertrain, excluding HSC allocation	48,960.0	14.5%	7,099.2
Q2 2027	Two-wheeler mobility	23,520.0	22.0%	5,174.4
Q2 2027	Linkage and suspension	7,920.0	15.0%	1,188.0
Q2 2027	HSC accepted cells and embedded module content	990.0	35.0%	346.5
Q3 2027	Legacy powertrain, excluding HSC allocation	51,000.0	14.5%	7,395.0
Q3 2027	Two-wheeler mobility	24,500.0	22.0%	5,390.0
Q3 2027	Linkage and suspension	8,250.0	15.0%	1,237.5
Q3 2027	HSC accepted cells and embedded module content	1,260.0	35.0%	441.0
Q4 2027	Legacy powertrain, excluding HSC allocation	53,040.0	14.5%	7,690.8
Q4 2027	Two-wheeler mobility	25,480.0	22.0%	5,605.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Linkage and suspension	8,580.0	15.0%	1,287.0
Q4 2027	HSC accepted cells and embedded module content	1,440.0	35.0%	504.0
Q1 2028	Legacy powertrain, excluding HSC allocation	51,500.0	15.0%	7,725.0
Q1 2028	Two-wheeler mobility	26,500.0	22.5%	5,962.5
Q1 2028	Linkage and suspension	8,750.0	16.0%	1,400.0
Q1 2028	HSC accepted cells and embedded module content	2,500.0	40.0%	1,000.0
Q2 2028	Legacy powertrain, excluding HSC allocation	49,440.0	15.0%	7,416.0
Q2 2028	Two-wheeler mobility	25,440.0	22.5%	5,724.0
Q2 2028	Linkage and suspension	8,400.0	16.0%	1,344.0
Q2 2028	HSC accepted cells and embedded module content	2,400.0	40.0%	960.0
Q3 2028	Legacy powertrain, excluding HSC allocation	51,500.0	15.0%	7,725.0
Q3 2028	Two-wheeler mobility	26,500.0	22.5%	5,962.5
Q3 2028	Linkage and suspension	8,750.0	16.0%	1,400.0
Q3 2028	HSC accepted cells and embedded module content	2,500.0	40.0%	1,000.0
Q4 2028	Legacy powertrain, excluding HSC allocation	53,560.0	15.0%	8,034.0
Q4 2028	Two-wheeler mobility	27,560.0	22.5%	6,201.0
Q4 2028	Linkage and suspension	9,100.0	16.0%	1,456.0
Q4 2028	HSC accepted cells and embedded module content	2,600.0	40.0%	1,040.0
Q1 2029	Legacy powertrain, excluding HSC allocation	52,000.0	15.5%	8,060.0
Q1 2029	Two-wheeler mobility	28,750.0	22.5%	6,468.8
Q1 2029	Linkage and suspension	9,250.0	16.5%	1,526.2
Q1 2029	HSC accepted cells and embedded module content	3,750.0	45.0%	1,687.5
Q2 2029	Legacy powertrain, excluding HSC allocation	49,920.0	15.5%	7,737.6
Q2 2029	Two-wheeler mobility	27,600.0	22.5%	6,210.0
Q2 2029	Linkage and suspension	8,880.0	16.5%	1,465.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	HSC accepted cells and embedded module content	3,600.0	45.0%	1,620.0
Q3 2029	Legacy powertrain, excluding HSC allocation	52,000.0	15.5%	8,060.0
Q3 2029	Two-wheeler mobility	28,750.0	22.5%	6,468.8
Q3 2029	Linkage and suspension	9,250.0	16.5%	1,526.2
Q3 2029	HSC accepted cells and embedded module content	3,750.0	45.0%	1,687.5
Q4 2029	Legacy powertrain, excluding HSC allocation	54,080.0	15.5%	8,382.4
Q4 2029	Two-wheeler mobility	29,900.0	22.5%	6,727.5
Q4 2029	Linkage and suspension	9,620.0	16.5%	1,587.3
Q4 2029	HSC accepted cells and embedded module content	3,900.0	45.0%	1,755.0
Q1 2030	Legacy powertrain, excluding HSC allocation	52,500.0	15.5%	8,137.5
Q1 2030	Two-wheeler mobility	31,000.0	22.0%	6,820.0
Q1 2030	Linkage and suspension	9,750.0	16.5%	1,608.8
Q1 2030	HSC accepted cells and embedded module content	4,375.0	43.0%	1,881.2
Q2 2030	Legacy powertrain, excluding HSC allocation	50,400.0	15.5%	7,812.0
Q2 2030	Two-wheeler mobility	29,760.0	22.0%	6,547.2
Q2 2030	Linkage and suspension	9,360.0	16.5%	1,544.4
Q2 2030	HSC accepted cells and embedded module content	4,200.0	43.0%	1,806.0
Q3 2030	Legacy powertrain, excluding HSC allocation	52,500.0	15.5%	8,137.5
Q3 2030	Two-wheeler mobility	31,000.0	22.0%	6,820.0
Q3 2030	Linkage and suspension	9,750.0	16.5%	1,608.8
Q3 2030	HSC accepted cells and embedded module content	4,375.0	43.0%	1,881.2
Q4 2030	Legacy powertrain, excluding HSC allocation	54,600.0	15.5%	8,463.0
Q4 2030	Two-wheeler mobility	32,240.0	22.0%	7,092.8
Q4 2030	Linkage and suspension	10,140.0	16.5%	1,673.1
Q4 2030	HSC accepted cells and embedded module content	4,550.0	43.0%	1,956.5

Operating-cost derivation

Quarter	Legacy recurring SG&A, including R&D and SBC	HSC fixed development, applications and selling
Q3 2026	8,500.0	250.0
Q4 2026	8,500.0	250.0
Q1 2027	9,000.0	375.0
Q2 2027	9,000.0	375.0
Q3 2027	9,000.0	375.0
Q4 2027	9,000.0	375.0
Q1 2028	9,375.0	450.0
Q2 2028	9,375.0	450.0
Q3 2028	9,375.0	450.0
Q4 2028	9,375.0	450.0
Q1 2029	9,875.0	550.0
Q2 2029	9,875.0	550.0
Q3 2029	9,875.0	550.0
Q4 2029	9,875.0	550.0
Q1 2030	10,375.0	625.0
Q2 2030	10,375.0	625.0
Q3 2030	10,375.0	625.0
Q4 2030	10,375.0	625.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Weighted OP below is after the stated minority operating-profit attribution. Conditional gross profit and expenses remain consolidated figures.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	HSC-ACCEPTED-OUTPUT	55%	0.0	0.0	0.0	0.0
Q3 2026	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q3 2026	EUROPE-RECOVERY	50%	0.0	0.0	0.0	0.0
Q3 2026	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0
Q4 2026	HSC-ACCEPTED-OUTPUT	55%	0.0	0.0	0.0	0.0
Q4 2026	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q4 2026	EUROPE-RECOVERY	50%	0.0	0.0	0.0	0.0
Q4 2026	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0
Q1 2027	HSC-ACCEPTED-OUTPUT	55%	750.0	337.5	90.0	136.1
Q1 2027	HSC-NEW-ORDER-PRICE	45%	25.9	22.0	1.3	9.3
Q1 2027	EUROPE-RECOVERY	50%	0.0	150.0	37.5	48.9
Q1 2027	HSC-YIELD-DOWNSIDE	30%	0.0	-40.5	0.0	-12.2
Q2 2027	HSC-ACCEPTED-OUTPUT	55%	1,500.0	675.0	180.0	272.2
Q2 2027	HSC-NEW-ORDER-PRICE	45%	31.7	26.9	1.6	11.4
Q2 2027	EUROPE-RECOVERY	50%	0.0	150.0	37.5	48.9
Q2 2027	HSC-YIELD-DOWNSIDE	30%	0.0	-49.5	0.0	-14.8
Q3 2027	HSC-ACCEPTED-OUTPUT	55%	2,250.0	1,012.5	270.0	408.4
Q3 2027	HSC-NEW-ORDER-PRICE	45%	40.3	34.3	2.0	14.5
Q3 2027	EUROPE-RECOVERY	50%	0.0	150.0	37.5	48.9
Q3 2027	HSC-YIELD-DOWNSIDE	30%	0.0	-63.0	0.0	-18.9
Q4 2027	HSC-ACCEPTED-OUTPUT	55%	3,000.0	1,350.0	360.0	544.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	HSC-NEW-ORDER-PRICE	45%	46.1	39.2	2.3	16.6
Q4 2027	EUROPE-RECOVERY	50%	0.0	150.0	37.5	48.9
Q4 2027	HSC-YIELD-DOWNSIDE	30%	0.0	-72.0	0.0	-21.6
Q1 2028	HSC-ACCEPTED-OUTPUT	55%	2,500.0	1,125.0	300.0	453.8
Q1 2028	HSC-NEW-ORDER-PRICE	45%	80.0	68.0	4.0	28.8
Q1 2028	EUROPE-RECOVERY	50%	0.0	300.0	75.0	97.9
Q1 2028	HSC-YIELD-DOWNSIDE	30%	0.0	-125.0	0.0	-37.5
Q2 2028	HSC-ACCEPTED-OUTPUT	55%	2,400.0	1,080.0	288.0	435.6
Q2 2028	HSC-NEW-ORDER-PRICE	45%	76.8	65.3	3.8	27.6
Q2 2028	EUROPE-RECOVERY	50%	0.0	300.0	75.0	97.9
Q2 2028	HSC-YIELD-DOWNSIDE	30%	0.0	-120.0	0.0	-36.0
Q3 2028	HSC-ACCEPTED-OUTPUT	55%	2,500.0	1,125.0	300.0	453.8
Q3 2028	HSC-NEW-ORDER-PRICE	45%	80.0	68.0	4.0	28.8
Q3 2028	EUROPE-RECOVERY	50%	0.0	300.0	75.0	97.9
Q3 2028	HSC-YIELD-DOWNSIDE	30%	0.0	-125.0	0.0	-37.5
Q4 2028	HSC-ACCEPTED-OUTPUT	55%	2,600.0	1,170.0	312.0	471.9
Q4 2028	HSC-NEW-ORDER-PRICE	45%	83.2	70.7	4.2	30.0
Q4 2028	EUROPE-RECOVERY	50%	0.0	300.0	75.0	97.9
Q4 2028	HSC-YIELD-DOWNSIDE	30%	0.0	-130.0	0.0	-39.0
Q1 2029	HSC-ACCEPTED-OUTPUT	55%	1,875.0	843.8	225.0	340.3
Q1 2029	HSC-NEW-ORDER-PRICE	45%	60.0	51.0	3.0	21.6
Q1 2029	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q1 2029	HSC-YIELD-DOWNSIDE	30%	0.0	-75.0	0.0	-22.5
Q2 2029	HSC-ACCEPTED-OUTPUT	55%	1,800.0	810.0	216.0	326.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	HSC-NEW-ORDER-PRICE	45%	57.6	49.0	2.9	20.7
Q2 2029	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q2 2029	HSC-YIELD-DOWNSIDE	30%	0.0	-72.0	0.0	-21.6
Q3 2029	HSC-ACCEPTED-OUTPUT	55%	1,875.0	843.8	225.0	340.3
Q3 2029	HSC-NEW-ORDER-PRICE	45%	60.0	51.0	3.0	21.6
Q3 2029	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q3 2029	HSC-YIELD-DOWNSIDE	30%	0.0	-75.0	0.0	-22.5
Q4 2029	HSC-ACCEPTED-OUTPUT	55%	1,950.0	877.5	234.0	353.9
Q4 2029	HSC-NEW-ORDER-PRICE	45%	62.4	53.0	3.1	22.5
Q4 2029	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q4 2029	HSC-YIELD-DOWNSIDE	30%	0.0	-78.0	0.0	-23.4
Q1 2030	HSC-ACCEPTED-OUTPUT	55%	1,250.0	562.5	150.0	226.9
Q1 2030	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q1 2030	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q1 2030	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0
Q2 2030	HSC-ACCEPTED-OUTPUT	55%	1,200.0	540.0	144.0	217.8
Q2 2030	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q2 2030	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q2 2030	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0
Q3 2030	HSC-ACCEPTED-OUTPUT	55%	1,250.0	562.5	150.0	226.9
Q3 2030	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q3 2030	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q3 2030	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0
Q4 2030	HSC-ACCEPTED-OUTPUT	55%	1,300.0	585.0	156.0	236.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2030	HSC-NEW-ORDER-PRICE	45%	0.0	0.0	0.0	0.0
Q4 2030	EUROPE-RECOVERY	50%	0.0	375.0	93.8	122.3
Q4 2030	HSC-YIELD-DOWNSIDE	30%	0.0	0.0	0.0	0.0

Legacy minority interests and wholly owned HSC

The 13% minority operating-profit proxy applies only to legacy mobility. Musashi Energy Solutions is wholly owned, so its HSC earnings and incremental output or pricing branches receive no minority deduction.

Quarter	Consolidated OP	Legacy minority allocation	Common OP
Q3 2026	4,567.5	577.5	3,990.0
Q4 2026	4,707.5	587.6	4,119.9
Q1 2027	5,120.6	660.2	4,460.3
Q2 2027	4,758.2	587.3	4,170.8
Q3 2027	5,548.7	660.2	4,888.5
Q4 2027	6,308.1	733.2	5,575.0
Q1 2028	6,820.0	757.2	6,062.8
Q2 2028	6,158.7	678.8	5,480.0
Q3 2028	6,820.0	757.2	6,062.8
Q4 2028	7,481.4	835.7	6,645.6
Q1 2029	7,797.5	821.7	6,975.9
Q2 2029	7,074.3	738.2	6,336.1
Q3 2029	7,797.5	821.7	6,975.9
Q4 2029	8,520.8	905.2	7,615.6
Q1 2030	7,815.0	823.1	6,991.9
Q2 2030	7,068.0	737.0	6,331.0
Q3 2030	7,815.0	823.1	6,991.9
Q4 2030	8,562.0	909.3	7,652.7

Cash, capital spending and lender requirements

JPY millions. New bank funding is an explicit uncommitted requirement above renewals of short-term facilities. Claims include debt less cash plus remaining lease obligations, floored at the starting claim in the valuation.

Quarter	Cash-flow proxy	Capex	Debt repaid	New borrowing	End cash	Net claims
Q3 2026	7,267.4	8,633.3	4,196.8	0.0	29,912.6	73,451.1
Q4 2026	7,237.5	8,633.3	4,196.8	0.0	21,720.1	77,336.3
Q1 2027	7,053.4	8,633.3	4,196.8	0.0	13,343.3	81,405.8
Q2 2027	8,092.0	7,000.0	4,196.8	0.0	7,638.3	82,803.5
Q3 2027	7,456.5	7,000.0	2,786.5	2,292.1	5,000.0	84,836.8
Q4 2027	8,018.1	7,000.0	2,786.5	4,369.0	5,000.0	86,308.8
Q1 2028	9,916.5	6,250.0	2,786.5	737.2	5,000.0	84,148.9
Q2 2028	9,599.5	6,250.0	2,786.5	1,054.4	5,000.0	82,306.3
Q3 2028	8,983.5	6,250.0	3,161.5	2,045.5	5,000.0	81,079.7
Q4 2028	9,452.3	6,250.0	3,161.5	1,576.9	5,000.0	79,384.5
Q1 2029	10,988.7	6,250.0	3,161.5	40.7	5,000.0	76,153.2
Q2 2029	10,655.0	6,250.0	3,161.5	374.6	5,000.0	73,255.7
Q3 2029	10,038.2	6,250.0	2,911.5	741.5	5,000.0	70,975.2
Q4 2029	10,555.9	6,250.0	2,911.5	224.0	5,000.0	68,177.1
Q1 2030	11,338.6	6,250.0	2,911.5	0.0	5,558.6	64,596.4
Q2 2030	10,831.0	6,250.0	2,911.5	0.0	5,609.4	61,523.5
Q3 2030	10,189.5	6,250.0	146.8	0.0	7,783.3	59,092.4
Q4 2030	10,713.1	6,250.0	146.8	0.0	10,480.6	56,137.8

Enterprise-to-equity reconciliation

20x rolling Q+next3 Japanese GAAP common-attributable OP, less window-end modeled net debt/leases with a June2026 claim floor, divided by window-end shares.13% minority attribution applies to legacy mobility only.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	73,451.1	0.0	73,451.1	3,840.67
Q4 2026	77,336.3	0.0	77,336.3	4,082.52
Q1 2027	81,411.2	-5.4	81,405.8	4,502.36
Q2 2027	83,036.5	-233.0	82,803.5	5,022.19
Q3 2027	85,267.1	-430.2	84,836.8	5,447.60
Q4 2027	87,033.7	-725.0	86,308.8	5,822.38
Q1 2028	85,345.9	-1,197.0	84,148.9	6,172.56
Q2 2028	83,887.4	-1,581.1	82,306.3	6,497.99
Q3 2028	83,042.5	-1,962.8	81,079.7	6,800.85
Q4 2028	81,743.4	-2,358.9	79,384.5	7,111.50
Q1 2029	78,983.3	-2,830.0	76,153.2	7,425.60
Q2 2029	76,427.1	-3,171.4	73,255.7	7,428.61
Q3 2029	74,486.6	-3,511.4	70,975.2	7,425.22
Q4 2029	72,039.7	-2,443.7	69,596.0	7,428.22
Q1 2030	69,596.0	0.0	69,596.0	7,437.62
Q2 2030	69,596.0	0.0	69,596.0	-
Q3 2030	69,596.0	0.0	69,596.0	-
Q4 2030	69,596.0	0.0	69,596.0	-

Claim decisions, overlap and triggers

HSC-ACCEPTED-OUTPUT

p: 0.55

hypothesis: Qualified accepted cells exceed a deliberately slow reference ramp.

reference: Reference annual accepted cells are 0.9m/2.0m/3.0m/3.5m in CY2027/28/29/30. ¥5000 per cell is an explicit conservative modeling proxy, not a disclosed price. No separate module revenue is added.

Conditional: Additional 1.5m/2.0m/1.5m/1.0m cells in 2027/28/29/30 at ¥5000: ¥7500m/10000m/7500m/5000m revenue before probability weighting.

bounds: 2027 extra 0-2m; 2028 extra 0-3m. ASP sensitivity ¥3000-10000 per accepted cell. Conditional peak total 4.5m cells stays below historical combined 6.5m nameplate, but still requires qualification, uptime and yield.

overlap: The reference includes existing HSC business carved out of the legacy powertrain allocation; the conditional pool is only accepted output above that reference. No second AI TAM, cabinet revenue or 6.5m nameplate sales addition.

cost bridge: 45% conditional GP, less 12% incremental qualification, application engineering, warranty and selling cost gives 33% OP. Existing factory depreciation and fixed development remain in the reference; conditional GP includes production labor/materials and yield cost.

timing: CY2027 quarterly incremental cells 0.15m/0.30m/0.45m/0.60m. May 2026 management delayed the new plant start to early 2027. August building handover does not reverse that qualification gate.

why p: Orders are strong and construction is tangible, but management explicitly reports yield and ramp constraints. 55% is a subjective qualified-output probability, not certainty from a customer order.

counter: Ramp slips, high RMS heating, alternative capacitors, qualification failure or customer redesign can keep accepted output at reference.

source ids: fy_deck_jp fy_deck_en q1_deck_en new_plant

HSC-NEW-ORDER-PRICE

p: 0.45

hypothesis: Urgent customers pay more for qualified near-term HSC supply.

reference: Reference ASP ¥5000 is flat; no scarcity premium embedded.

Conditional: 8% premium on 40% of reference HSC cell sales in 2027-28; premium halves in 2029 and goes to zero in 2030.

bounds: 0-15% premium; 20-60% eligible new/repriceable orders. Exact contracts and achieved ASP remain undisclosed.

overlap: Only reference units qualify; the separate incremental-output branch receives no premium. Fixed-price backlog is excluded from the eligible proxy.

cost bridge: 85% GP retention less 5% incremental sales/support cost = 80% OP conversion. This captures better terms rather than a second plant-utilization margin gain.

timing: Accepted new orders after early-2027 production qualification; no retroactive revenue.

why p: Cost of waiting for usable power conditioning can exceed component price. Tight supply is management-confirmed, but purchase terms and substitutes constrain pricing.

counter: OEM negotiation, long-term fixed terms, ESR/cooling trade-offs, alternative architectures and capacity expansion.

source ids: fy_deck_en q1_deck_en HSC_JP_spec

EUROPE-RECOVERY

p: 0.5

hypothesis: Transferred production and fixed-cost reductions outperform weak legacy reference.

reference: Legacy margins recover gradually; Europe was still loss-making in June. The reference retains ordinary savings and normal recurring costs.

Conditional: Additional annual legacy gross-profit savings ¥600m/1200m/1500m/1500m in 2027/28/29/30.

bounds: 2028 additional savings ¥0-2000m.

overlap: Only residual above reference margin recovery. Previously recorded ¥7340m extraordinary restructuring is not charged again to OP.

cost bridge: Incremental transfer/support cost 25% of conditional savings; net OP 75%, with 13% minority attribution proxy on legacy OP.

timing: Savings follow transferred production; restructuring cash payment is separate from OP.

why p: Concrete closures and transfer plan provide a path; weak European volumes and execution justify only 50%.

counter: Customer production cuts, duplicated overhead, transfer defects and labor settlement overruns.

source ids: europe_restructuring q1_financial

HSC-YIELD-DOWNSIDE

p: 0.3

hypothesis: Residual reject and warranty cost exceeds the reference after commissioning.

reference: Reference HSC GM rises from 35% in 2027 to 45% in 2029, including ordinary ramp costs.

Conditional: Extra cost 5% of reference HSC revenue in 2027-28, 2% in 2029 and zero in 2030.

bounds: 0-10% of reference HSC sales; larger failure belongs to the low-output scenario, not an independent duplicate demand shock.

overlap: Applies to reference output only. Incremental-output GP already includes its own yield cost; no second cost deduction there.

cost bridge: Extra COGS reduces GP and OP one-for-one; no minority haircut on wholly owned HSC.

timing: Manufacturing and accepted warranty experience, not building completion.

why p: The latest two presentations explicitly discuss productivity and yield obstacles; measured saleable output is not disclosed.

counter: Remove if accepted shipments and warranty data show the reference cost curve is adequate.

source ids: fy_deck_en q1_deck_en

Remaining bounded uncertainties

- HSC standalone revenue, achieved selling price, accepted units, yield, customer identity and firm eligible repricing terms are undisclosed. The ¥5000 cell-equivalent ASP is a valuation assumption and must be sensitivity-tested.

- The May 2026 production delay controls timing. August building handover does not prove qualification, saleable output or an earlier production start.

- The latest two management presentations were reviewed in English and Japanese. No complete verbatim Q&A transcript was retrieved; these are presentation discussions, not a claim that full calls were transcribed.

- Short-term bank borrowing is assumed rolled in the operating case. No undrawn committed facility was established. The funding bridge quantifies the no-roll shortfall and is not an unconditional funded claim.

- The latest shares combine June common shares with the disclosed July restricted-stock issuance; 0.10% annual dilution is a model reserve.

- Legacy gross-margin splits and HSC revenue carve-out are modeling allocations because statutory reporting is geographic. No separate extra module sales are added.

- Valuation uses window-end forecast net debt/leases with a ¥69.596bn starting-claim floor. Required new bank funding and short-debt renewals remain explicit financing assumptions. Pension and recorded restructuring cash are in funding, not duplicated as claims.

- The full June current long debt of JPY16787m is repaid over Q3 2026 through Q2 2027. Later March-derived annual buckets11146/12646/11646/587 are modeled in successive four-quarter groups; post-June exact maturity dates and new-debt terms remain unverified.

- June noncurrent long debt JPY40377m exceeds March36796m by3581m. Undated incremental borrowings and the portion beyond the disclosed ladder remain in outstanding debt rather than being assumed repaid.

- The valuation deducts full consolidated net financial claims against common-attributed operating profit. Cash/debt location and subsidiary ownership allocation are unverified, making this conservative versus a fully matched ownership-adjusted claim.

- The cash bridge implies FYendingMarch2027 depreciation/amortization of JPY19357m:4857m actual plus4625m,4625m and5250m forecast. This is857m above the18500m guide and is an explicit new-plant timing assumption, not management guidance.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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